

A De-Rated Power Platform: Levered Balance Sheet, Unlevered Growth

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Recommendation	BUY
12-Mo. Price Target	\$143
Current Price	\$95.23 (Oct 2, 2026 close)
Implied Upside	+50.2%
Risk Rating	Medium-High (2.0% dividend yield; beta 1.18)

Market cap	Enterprise value	Net debt	52-week range
~\$20.1 bn	~\$43 bn	~\$23 bn (Jun '26)	\$93.36 – \$189.96
FY26E / FY27E P/E	EV/EBITDA (26E)	FCFbG yield (26E)	1-yr return
10.7× / 8.4×*	~7.8×	~14%	-41%

*On consensus adj. EPS of \$8.9 (2026E) / \$11.3 (2027E).

NRG is the cheapest of the independent power producers — and the most retail-integrated. After the January 2026 LS Power deal it runs ~25.8 GW of mostly gas-fired generation alongside the largest competitive retail electricity book in the U.S. and the Vivint smart-home platform. The stock sits near 52-week lows because the market sees \$23B of debt, two earnings misses, and guidance tracking below midpoint. This v2 rebuild values the equity as what it is — a levered stub — with hardened rules: scenario-specific discount rates (base 11%, bear 13.5%, bull 9.5%), terminal growth capped at 2% on *normalized mid-cycle power prices* (never the 2026 capacity-auction peak), and a bear case that genuinely hurts (\$20.29, -79%). The probability-weighted FCFbG DCF (25/50/25) lands at \$143.31; we set a \$143 twelve-month target, the weighted fair value rounded. This is research analysis, not personalized investment advice.

Bottom line: a well-run integrated power platform at a distressed multiple. BUY; size it knowing the equity is a levered stub — beta 1.18, real commodity exposure — and watch Q3 for the leverage-trajectory update.

1. Investment thesis

The derating is about leverage, not the business. The stock is down 41% in a year and sits near 52-week lows. The causes are identifiable and largely in the price: post-deal leverage anxiety (~\$23B debt; Fitch pro-forma gross leverage ~4.3×), Q1/Q2 2026 earnings misses (~14% below consensus each), and 2026 guidance tracking below midpoint on mild Texas weather, Winter Storm Fern costs, and a \$70M Virginia RGGI re-entry charge. Nothing in the misses suggests structural impairment of the retail franchise or the fleet.

2027–2030 earnings power is visible and contracted in growing measure. PJM capacity cleared at the auction caps (\$333.44 and \$325/MW-day), locking in \$729–781M of annual capacity revenue for 2027–28. The LS Power assets contribute a full year for the first time. ERCOT and PJM both set record peak loads in the last twelve months. Consensus sees adj. EPS of \$11.25–11.30 in 2027 (+26–31%), and management targets 14%+ EPS CAGR through 2030 (2030E adj. EPS \$14+).

The data-center angle is real and contracted. NRG's 'Bring Your Own Power' strategy has a signed 1.2 GW combined-cycle plant for an investment-grade hyperscaler in Texas — 15-year term, ~95% capacity-payment FCF, ~\$500M adj. EBITDA / ~\$375M FCFbG run-rate at 12–15% pretax unlevered returns, COD end-2029 — plus 5.4 GW of GE Vernova/Kiewit turbine slots secured through 2032 and 445 MW of already-signed data-center agreements.

The retail-generation integration is the moat's core. ~6M retail energy customers matched against ~26 GW of flexible gas generation, ~50/50 retail/generation margin mix, dampens commodity swings versus pure merchants (Talen) or pure retailers — and the fleet profits from the volatility that retail hedging must manage.

Capital returns are running through the noise. \$1.90 annualized dividend (+8%, 7th straight increase) plus \$1B/yr of buybacks until leverage drops below 3.0×. At \$95.23, the FCFbG yield is ~14% — the market is pricing distress on a company guiding \$2.8–3.3B of 2026 FCFbG.

Why BUY and not HOLD: the v2 scenario DCF weights to \$143 against a \$95.23 price, the 2027–2030 growth path is contracted rather than hoped for, and the base case deliberately underwrites *less* growth than management's 14%+ target (8% FCF CAGR). The \$143 target implies 50% upside plus a 2% dividend — enough to clear our hurdle despite the leverage risk.

2. What the company does

Headquartered in Houston, Texas, NRG reports five segments: Texas (retail + ERCOT generation), East (retail + PJM/NYISO/ISO-NE generation, incl. CPower), West/Other, Vivint Smart Home, and Corporate. 2026 segment EBITDA guidance: Texas \$2.20–2.45B; East/West/Other \$2.03–2.23B. Customer count: ~8M residential — ~6M retail energy plus ~2M smart-home; the largest retail provider in Texas.

Region	Share of capacity	Key assets / notes
ERCOT (Texas)	~50%	W.A. Parish (2,514 MW coal + 1,118 MW gas), Limestone 1,688 MW coal, Cedar Bayou 1,495 MW gas; LS Jack County 1,252 MW CCGT; TEF builds (Wharton 415 MW online May/June 2026)
PJM	~39%	Powerton 1,538 MW coal; cleared 2028/29 BRA at \$325/MW-day cap; \$644M→\$781M/yr capacity revenue through 2028
NYISO	~8%	Ravenswood 2,002 MW (Zone J, NYC) — premium capacity zone
ISO-NE	~3%	\$33–41M/yr capacity revenue

Fuel mix is ~88% natural gas/dual-fuel, ~12% coal/other — a flexible, volatility-friendly fleet (gas peakers and CCGTs capture scarcity pricing) with a defined coal tail. Vivint contributes subscription economics: 2.45M customers (+8% YoY), 89% retention, ~9-year lifetimes, \$77.93 monthly recurring revenue per customer. Leadership: President & CEO Robert Gaudette (transitioned from Larry Coben during 1H 2026). The LS Power deal was funded with ~\$6.4B cash, \$4.4B of new notes, revolver draws, and 24.25M new shares — the share count rose to ~211M basic in Q2 2026, and the \$1B/yr buyback pace is the offset mechanism.

3. Financial situation

\$ millions (FY ends Dec 31)	FY24	FY25	2026E guide
GAAP revenue	28,130	30,710	—
GAAP net income	1,130	864	—
Adjusted EBITDA	3,800	4,100	5,325–5,825*
Adjusted EPS	\$6.83	\$8.24	\$7.90–\$9.90*
FCF before growth (FCFbG)	2,100	2,200	2,800–3,300*
Dividend / share (ann.)	\$1.75	\$1.76	\$1.90 (+8%)
Total debt (Jun '26)	—	—	~23,500

*Reaffirmed Aug 4, 2026; company tracking below midpoint after Q2. Sources: FY2024 PR (Feb 26, 2025), FY2025 8-K (Feb 24, 2026), Q2 2026 PR and earnings deck (Aug 4, 2026). The Q2 2026 print: revenue \$7.48B (+11% YoY, beat); adj. EBITDA \$1,217M (+34%); FCFbG \$1,025M; but adj. EPS \$1.49 missed the \$1.69 consensus — soft Texas weather and power prices, Winter Storm Fern costs, \$70M of Virginia RGGI re-entry, and inherited LS hedges. The fleet is substantially hedged for the rest of 2026, which is why guidance was reaffirmed even as the EPS miss landed.

Leverage is the central fact of the equity. ~\$23.5B of total debt against a ~\$20B market cap makes the stock a levered stub: Fitch pro-forma 2026 gross leverage ~4.3× (BB+/BB+ ratings, stable outlook, affirmed May 2026). The maturity ladder is manageable — no cliff before 2027, notes laddered 2028–2036 at 3.4–6.25% plus Term Loan B 2031/2033. The plan: <3.0× net leverage within 24–36 months of the January close, funded by EBITDA growth plus \$960M of 2026 debt paydown. 2026 capital plan: \$3.05B FCFbG midpoint → \$1,030M liability management, \$1,000M buybacks, \$407M common dividends, \$1,113M data-center new-build capex (BYOP), ~\$620M TEF capex offset by \$650M incremental TEF debt. The dividend (\$1.90, +8%, 7th consecutive increase) is ~21% of 2026E adj. EPS — safe on adjusted earnings, with a 7–9% annual DPS growth policy. **Hedge profile:** substantially hedged for 2026, but 2027+ carries open power-price exposure — the company discloses large unhedged gross-margin sensitivity (e.g., TX ATC at \$60/MWh ≈ +\$290–360M of 2027–28 gross margin at lower hedge cases). This is the commodity lever the equity holder owns, for better and worse.

4. Growth, moat & future projection

Management targets 14%+ adj. EPS CAGR through 2030 (raised from 10% at the LS announcement), implying 2030E adj. EPS of \$14+. Our v2 base case underwrites only 8% FCF CAGR — deliberately below management's target, per the no-anchoring rule. The building blocks:

Data centers — contracted, not aspirational. The 1.2 GW BYOP hyperscaler CCGT (\$3.2B capex, ~\$2,700/kW, ~6.4× build multiple) delivers ≥\$500M adj. EBITDA and ~\$375M FCFbG/yr at full operation from end-2029, with 15-year capacity payments independent of data-center utilization — a utility-like annuity inside a merchant wrapper. Behind it: 5.4 GW of GE Vernova H-class turbine + Kiewit EPC slots through 2032, ~2 GW of PJM uprate opportunities, and 445 MW of already-signed data-center agreements with >1 GW targeted.

LS Power integration. A full year of the acquired 13 GW in 2027 (closed Jan 30, 2026), ~\$1.2B of annual EBITDA contribution per management framing, PJM capacity at the caps (\$729–781M/yr 2027–28), and identified cost and commercial synergies.

Texas load growth + TEF builds. ERCOT set four record peaks in twelve months. The Texas Energy Fund finances 1.5 GW at 3% (\$1.15B): Wharton 415 MW already online (on time/on budget), Cedar Bayou 5 (689 MW) and Greens Bayou 6 (443 MW) follow mid-2028.

Vivint compounding. 2.45M subscribers growing 8% with \$44/mo service margin and ~9-year lifetimes — a subscription annuity diversifying the earnings mix.

Retail margin and buybacks. Texas retail EBITDA guidance of \$2.20–2.45B reflects margin expansion; \$1B/yr of buybacks at ~\$95 retires ~5% of shares annually.

On moat — honestly: NRG has integration advantages, not a franchise moat. The advantages are real: the largest U.S. competitive retail platform, ~26 GW of flexible gas generation that monetizes volatility, a genuine development machine, and ~50/50 retail/generation margin mix that dampens cycles. The offsets: commodity exposure on the open 2027+ book, regulatory risk (ERCOT market design, PJM price caps, RGGI), weather, and a balance sheet that turns every miss into a leverage event. This is a cyclical compounder with contracted growth — priced like one, with a discount rate that respects the leverage.

5. Competitive landscape

Company	Price (Oct 2)	1-yr	Profile
NRG Energy	\$95.23	-41%	25.8 GW gas, largest US retail, Vivint
Vistra (VST)	\$136.88	-33%	~41 GW nuclear+gas+coal; TXU retail; Meta 2.6 GW nuclear PPAs

Company	Price (Oct 2)	1-yr	Profile
Constellation (CEG)	\$253.46	-21%	Largest US nuclear; ~21× fwd earnings carbon-free premium
Talen (TLN)	\$315.88	-26%	~13.2 GW incl. 2.2 GW nuclear; pure merchant
NextEra (NEE)	\$77.37	-0.4%	Regulated benchmark; ~18–20×

The independent power producers derated together in 2026 — NRG simply derated hardest. NRG is the cheapest IPP on forward earnings (~10.7× '26E / 8.4× '27E vs CEG ~21×) and the most retail-integrated. The discount reflects leverage (VST and CEG carry investment-grade or near-IG profiles) and the two 2026 misses. NRG's own 7.8× 2026E EV/EBITDA sits below typical through-cycle IPP multiples of 8–10×

6. Valuation (v2 hardened): FCFbG scenario DCF + cross-checks

We run a 10-year scenario DCF on free cash flow before growth (the company's own core metric), off 2026E FCFbG of ~\$2.9B (below the guidance midpoint, per company tracking). Net debt of \$23B is deducted; ~205M diluted shares (post-buyback trajectory). The discount rate is the leverage call: **base 11%** — between the standard 10% and the speculative 12%, explicitly justified by the BB+ rating, ~4.3× gross leverage, and the merchant tail — **bear 13.5%, bull 9.5%**. Terminal growth is capped at 2% and applied to year-10 FCF at **normalized mid-cycle power prices**: the bear and base cases assume capacity prices fade from the 2026 auction caps toward mid-cycle, never extended at peak. Growth paths sit below management's 14%+ EPS target — no management anchoring.

Lens 1 — Scenario FCFbG DCF (primary)

Scenario	10-yr FCF path	Discount	Fair value / sh
Bear — deleveraging stalls; power prices soften to mid-cycle; FCF growth fades 5%→2%	~2.6% CAGR	13.5%	\$20.29
Base — 8% FCF CAGR; leverage <3× by 2028; BYOP on schedule; normalized mid-cycle prices	8% CAGR	11.0%	\$131.76
Bull — 12% FCF CAGR; BYOP delivers; >1 GW more data-center deals; multiple re-rates	12% CAGR	9.5%	\$289.42
Weighted (25/50/25)	—	—	\$143.31

The bear case clears every v2 bear-must-hurt test: FCF CAGR of ~2.6% is under 3%; \$20.29 is an ~85% derating versus the base case; and it sits 79% below the \$95.23 quote. This is a leverage story, not an operations story — if EBITDA disappoints, the \$23B debt load means the levered stub absorbs it first. Terminal value is 34–60% of enterprise value by scenario (under the 70% haircut threshold). Note the honest asymmetry: the bull (\$289) is nearly as far above the base as the bear is below it — leverage cuts both ways.

Lens 2 — Forward P/E (relative)

At 12× — a discount to CEG's ~21× and regulated ~18–20×, a premium to distressed merchants — 2026E \$8.9 gives \$107 and 2027E \$11.3 gives \$136; midpoint ~\$121. The 2027 number matters more: by then the LS assets are fully annualized and PJM capacity is at the caps.

Lens 3 — EV/EBITDA

On 2026E adj. EBITDA of ~\$5.5B: 8.5× → EV \$46.75B, less \$23B net debt = \$23.75B equity ÷ 205M = \$116; 9.0× → \$129. Through-cycle IPP multiples of 8–10× make 8.5–9× conservative for a retail-integrated platform.

Blended target: \$143

Valuation read	Fair value / sh	Implied upside
Scenario FCFbG DCF, 10-yr, 25/50/25-weighted	\$143.31	+50%
Forward P/E 12× (26E/27E midpoint)	~\$121	+27%
EV/EBITDA 8.5–9× on 2026E	\$116–\$129	+22–+35%

Valuation read	Fair value / sh	Implied upside
Street consensus (Moderate Buy)	~\$198	+108%
12-month target	\$143	+50%

We set \$143: the probability-weighted DCF rounded, with no departure from it. The lenses converge at \$116–\$143 — the DCF sits at the top of the cross-check range because it alone prices the 2027–2030 contracted growth. The \$198 street consensus target is, in our view, a stale artifact of higher prices — our \$143 is deliberately below it, because it is built on below-midpoint 2026 FCFbG and an 11% discount rate that respects the BB+ balance sheet. A raw Gordon DCF on the ~14% FCFbG yield produces nosebleed values (\$300+); we treat that as evidence that the market deeply discounts FCF sustainability through a leverage cycle, not as a price target.

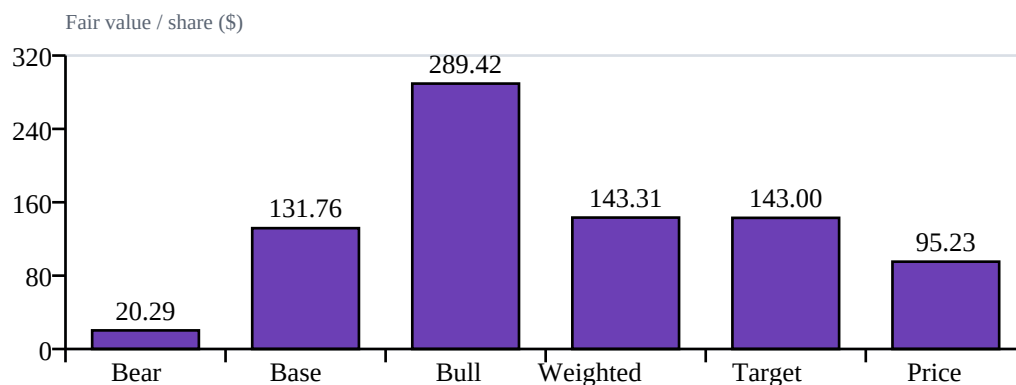


Figure — Scenario fair values, target, and current price (\$). Source: analyst model, October 4, 2026.

7. Key risks

Leverage (the central risk). ~\$23B debt vs ~\$20B market cap; Fitch pro-forma 4.3× gross leverage. If EBITDA disappoints or rates rise, deleveraging stalls, the \$1B/yr buyback is at risk, and the equity — a levered stub — absorbs it first. The bear case (\$20) is a leverage story, not an operations story.

Commodity and hedging exposure. Substantially hedged for 2026, but 2027+ is open: large unhedged gross-margin sensitivity to Texas and PJM power prices. A mild-weather/low-price year like 1H 2026, repeated, breaks the 14% growth narrative.

Regulatory. ERCOT market-design and political scrutiny; PJM capacity price caps limit upside; Virginia RGGI re-entry already cost \$70M in 2026.

Weather. Winter Storm Fern (2026) and mild summers both hurt — the business is short weather volatility in both directions at different times.

Execution. The \$3.2B BYOP hyperscaler build (COD 2029) and LS Power integration must deliver; buybacks assumed at much lower prices than the \$170/share the 2026 plan assumed.

Estimates still being cut. Five analysts cut FY26/FY27 EPS in the last 30 days; Zacks is at Strong Sell. A third consecutive miss (Q3, ~early Nov) would likely take out the \$93 lows.

Customer affordability. The company flags affordability as a constraint on retail pricing — margin expansion has a political ceiling in Texas.

8. Catalysts, recommendation & what could change our mind

Catalysts over the next 12 months: (1) Q3 2026 earnings (~early November) — the single most important print: a beat plus a leverage-trajectory update would break the two-miss narrative; a third miss likely breaks \$93; (2) ERCOT Batch Zero progression for the 1.2 GW BYOP project; (3) additional data-center announcements (445 MW signed, >1 GW targeted); (4) PJM/ERCOT winter performance; (5) Fitch/S&P; leverage reviews as the <3.0× target approaches.

Recommendation: BUY, \$143 target. NRG pairs the cheapest valuation in the IPP group (10.7× '26E, 8.4× '27E, 7.8× EV/EBITDA, ~14% FCFbG yield) with the most contracted 2027–2030 growth path: full-year LS Power, PJM capacity at the caps, Texas load growth, a signed hyperscaler build, and a visible earnings ramp the market refuses to fund through the leverage cycle. The v2 DCF — with an 11% discount rate that respects the BB+ balance sheet, mid-cycle (not peak) terminal power prices, and a bear case that takes the equity to \$20 — still weights to \$143, 50% above the quote. Risk is Medium-High: the \$23B debt load makes the equity a levered stub with real commodity exposure, and estimates are still being cut. Size accordingly — this is a position, not a core holding — and use Q3 earnings as the confirmation checkpoint. We would downgrade to HOLD above ~\$133 (upside <7%) and to REDUCE above ~\$160; we would add aggressively on a leverage scare toward \$75 with the thesis intact.

What could change our mind: Q3 adj. EPS miss #3 or leverage stuck above 3.5× into 2027 (bearish — the \$20 case); a signed second hyperscaler deal or PJM capacity upside beyond the caps (bullish — re-rate toward \$200+); a ratings downgrade (technical pressure — buying opportunity only if the FCF trajectory holds).

Appendix — Methodology & sources (v2)

Scenario DCF (v2). Ten explicit years off 2026E FCFbG of ~\$2.9B (below guidance midpoint); FCF growth paths: bear 5%/4%/3% then 2%, base 8% CAGR, bull 12% CAGR; discount rates 13.5% / 11.0% / 9.5%; terminal growth 2.0% on normalized mid-cycle power prices (capacity prices fade from 2026 auction caps toward mid-cycle — never extended at peak); net debt \$23B deducted; ~205M diluted shares. Terminal value is 34–60% of EV by scenario (under the 70% haircut threshold). Growth inputs sit below management's 14%+ EPS CAGR target — no management anchoring. **What we did not do:** no dividend model as primary (payout is not the return driver); no Monte Carlo. **Limitations:** 2027+ hedge profile and power-price realizations are the dominant uncertainties; small changes in the discount rate move the levered equity value sharply.

Sources: NRG Q2 2026 earnings presentation and press release (Aug 4, 2026), FY2025 8-K (Feb 24, 2026), FY2024 PR (Feb 26, 2025), Q1 2026 10-Q, LS Power close PR (Jan 30, 2026), PJM BRA reports, ERCOT filings. Market prices via Yahoo Finance, Oct 2, 2026 (NRG \$95.23, 52-wk \$93.36–\$189.96). Sell-side estimates per Zacks. All 2026E+ figures beyond cited consensus/guidance are the author's. Disclaimer: this note is independent research analysis for informational purposes only and is not personalized investment advice. Estimates and targets are inherently uncertain. The author may hold positions in securities mentioned.